BCI II

Full Flavor, Half the Time:
Scaling Porcini's Pronto for Maximum Returns

How can Porcini drive domestic growth by launching Pronto, focusing on quick & efficient, high quality food to travelers while achieving profitable returns?

Group 5

Positive Profits for Pronto under Porcini by 2016…

Porcini's Pronto

Key Issues

1. Maintaining food & service quality

2. Comparing & Contrasting the best expansion model

3. Standing out with Porcini's Competitive Edge

>

Mandate

How can Porcini drive **domestic growth** by launching **Pronto**, focusing on **quick & efficient**, high **quality** food to travelers while achieving **profitable returns**?

>

Alternatives

Organic, Company-Owned Growth

Franchising

Syndication

>

Impact

109M+ in Total Revenue by 2016

88.9K+ in Franchise Royalties by 2016

4.95% Gross Profit Margin by 2016

Key Issues

Our top 3 priorities for Porcini are based on…

Porcini's Pronto

1

Keeping Food and Service Quality

- Porcini's is famous for high-quality food and great service.
- Porcini's food is "almost all made from scratch" and the service is "the best."
- A fast service model could damage its reputation.

2

Finding the Best Expansion Model

- Owning is expensive
- Franchising can lower quality
- Investors take part of the money.

3

Beating the Competition

- Cracker Barrel and Denny's
- Fast food
- "Almost any place that serves food is our competitor."

Analysis

Porcini's Financial Performance indicates…

Revenue (2010): $94,3 million

Profit Margin (2010): 4%

Number of locations: 23

Average revenue per location: $4,1 million

Key financial risks

High capital requirements

Uncertain revenue performance of Pronto

Potential brand dilution

Competitive market with established players

Porcini's has maintained revenue growth but profit margin has been average amongst competitors, with low differentiation.

We aim to capture the our audience with the large market with…

Porcini's Pronto

Competitive landscape

1

Direct competitors
- Olive Garden
- Cracker Barrel
- Bob Evans and Denny's

2

Indirect competitors
- Pizza Hut
- McDonalds
- Burger King
- Starbucks

Key competitive challenges for Pronto

Brand recognition disadvantage: Denny's has 97% of national awareness while Porcini's is only known regionally

Competing with fast-food restaurants

Prime location availability

>

Customer analysis

4 key customer groups

1. Business Travelers – Want fast service and a higher-quality meal than fast food.
2. Vacation Travelers & Families – Prefer affordable, sit-down meals, especially with children-friendly options.
3. Office Workers (Local Customers) – Looking for quick lunch options in areas near Pronto locations.
4. Budget-Conscious Travelers – Seek value for money, preferring meals in the $9-$17 range for dinner.

Recommendations

Our alternatives for expansion are…

Porcini's Pronto

1

Organic, Company-Owned

- Porcini's purchases land, constructs, and fully owns each location
- Operations and quality fully controlled by Porcini's management
- Expansion limited by internal financing and capital availability

2

Syndication

- Initially building restaurants, then selling real estate to external investors
- Operating restaurants and maintaining control over day-to-day operations
- Investors receive returns from property earnings; Porcini's retains operational profits

3

Franchising

- Franchisees independently own and operate restaurants under Porcini's brand
- Setting operational guidelines, quality standards, and marketing support
- Franchisees responsible for all initial capital investment and ongoing operations

Selecting the right strategy in achieving our targets to bring long-term success

Porcini's Pronto

Alternative Analysis

Worst Alternative → Best Alternative

Criteria	Company-owned	Syndication	Franchising
Operational Control			
Speed of Expansion			
Capital Intensity			
Profit Margin	6% pre-tax	4% pre-tax	2% net
Brand Consistency			

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Implementation

The Hows & Whys on the franchise model as the best fit for our goals

Why a Multi-Unit / Area Developer Model?

Faster Market Penetration

Franchisees commit to opening multiple units → rapid growth

Capital Efficiency

Franchisees fund locations → Porcini grows with low investment

Maintains Strategic Control

Porcini sets standards, owns brand, trains key partners

Target Franchisee Profile

We are looking for partners with.

1. Experience in F&B operations
2. Access to prime highway/roadside real estate
3. Strong capital base for multi-unit development
4. Understanding of regional market needs
5. Willingness to uphold Porcini's quality reputation
6. Capacity to co-invest in marketing & hiring

→ These partners are key to scaling regionally and building recognition beyond current regional awareness

Why this model beats expectations

Location Leverage

Partners help secure **prime highway spots**, beating big players

Strategic Scale, Without Brand Risk

Franchising avoids brand dilution by choosing quality partners, not volume

Self-sustaining Growth Engine

Profitable operators reinvest, creating a flywheel effect

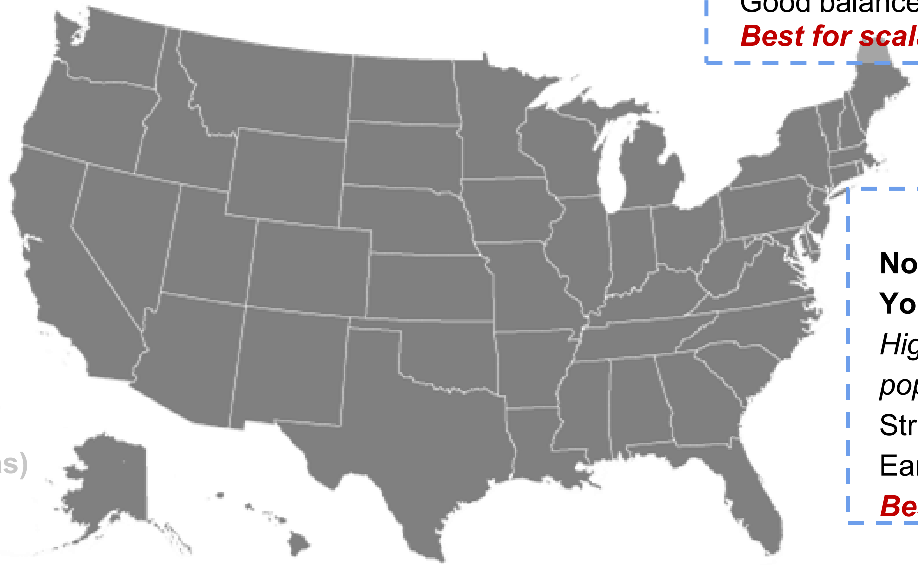
We work closely with our partners in providing Pronto with minimal risk & strong revenue growth

Porcini's Pronto

Porcini's must balance brand familiarity, highway traffic, and strategic expansion potential for an ideal location

Southeast (e.g., Georgia, North Carolina)
Lower brand awareness, but strong highway use
Potential for family/vacation segment
Mid-term expansion opportunity

Midwest (e.g., Ohio, Illinois)
Central to national highways with cost-efficient real estate
High road trip volume
Good balance of cost and reach
Best for scalable rollout after initial success



Northeast (e.g., Pennsylvania, New York)
High brand familiarity and dense population
Strong traveler volume
Early adopters likely
Best region to launch pilot locations

West (e.g., California, Texas)
Low brand awareness and expensive real estate
High competition
Low priority for now

Porcini's Pronto

We bring stable & rapid growth through our franchising strategy on a store-wide level

We aim to build **5 franchises** in the next **3 years**, generating stable, yet high growth revenue by…

884.7K+ Generated with our First Store

35K	Customers Per Annum
25	Expected Ticket Size
884.7K	Expected AUV

22.5K	Initial Franchise Fee
17.6K	Franchise Operating Fee
40K	Applicant Fee

80K+

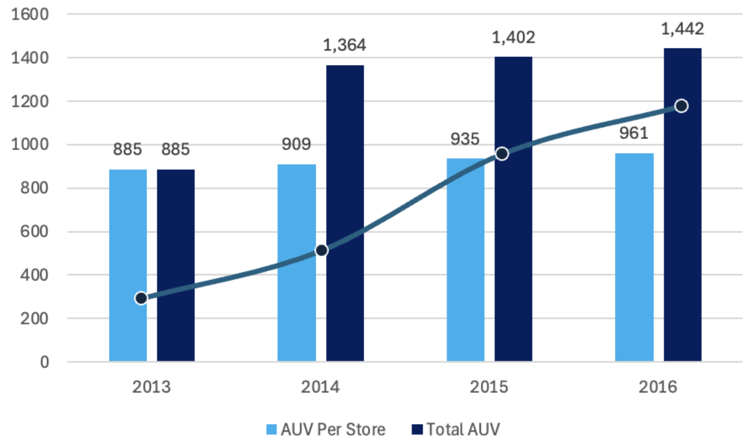
Revenue from Initial Franchise Launch

17M+

Lifetime revenue per franchise

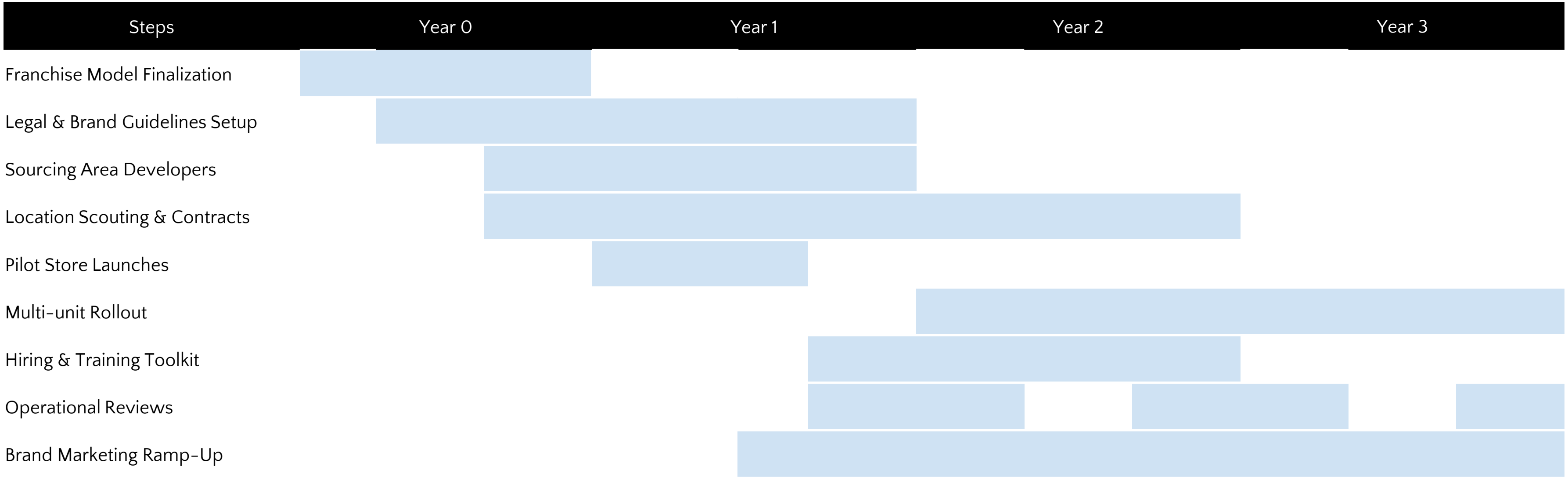
5

Franchises to be built in 3 years



A Scalable Franchise Rollout Strategy to Be Achieved in 3 years

Porcini's Pronto



Must Win Battles & KPIs

1 Pilot Franchise Launch

→ At least 3 locations live by Q3 Year 1

2 Area Developer Agreements Secured

→ 5 multi-unit franchise deals signed by end of Year 2

3 Brand Awareness Lift

→ +25% recognition in target regions by Q1 Year 3

Impact

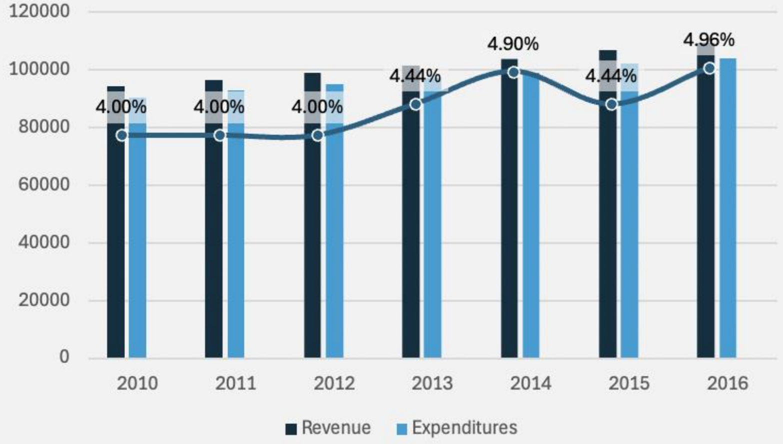
Balancing Risk & Reward while generating steady returns

Porcini's Pronto

Revenue Breakdown

109.4M+ in Total Revenue

Values in 000 USD

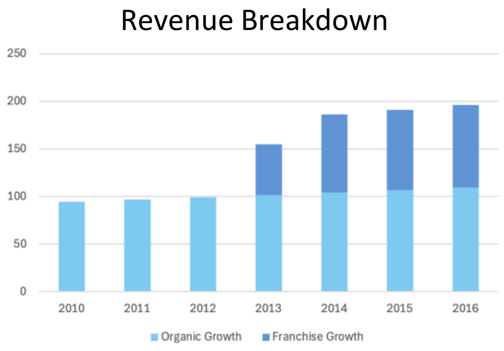


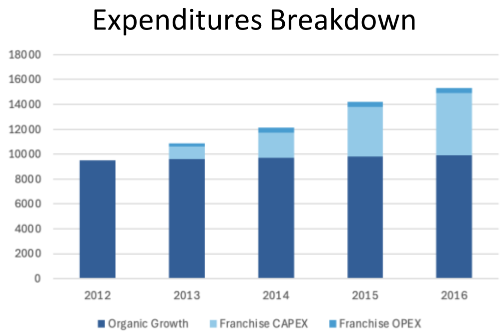
Assumptions

- 2.5% Industry Growth Rate for main chain, 2% Growth of Fast Food Sector
- Porcini takes 6% Royalties from Franchisor

Maintaining a 4-5% GPM & 300K+ in Total Franchising Royalties

Economies of Scale allow for us to reach 4% with a Franchising strategy





2.85%
Revenue CAGR (2013-2016)

88.9K+
Expected Royalties in Franchises by 2016

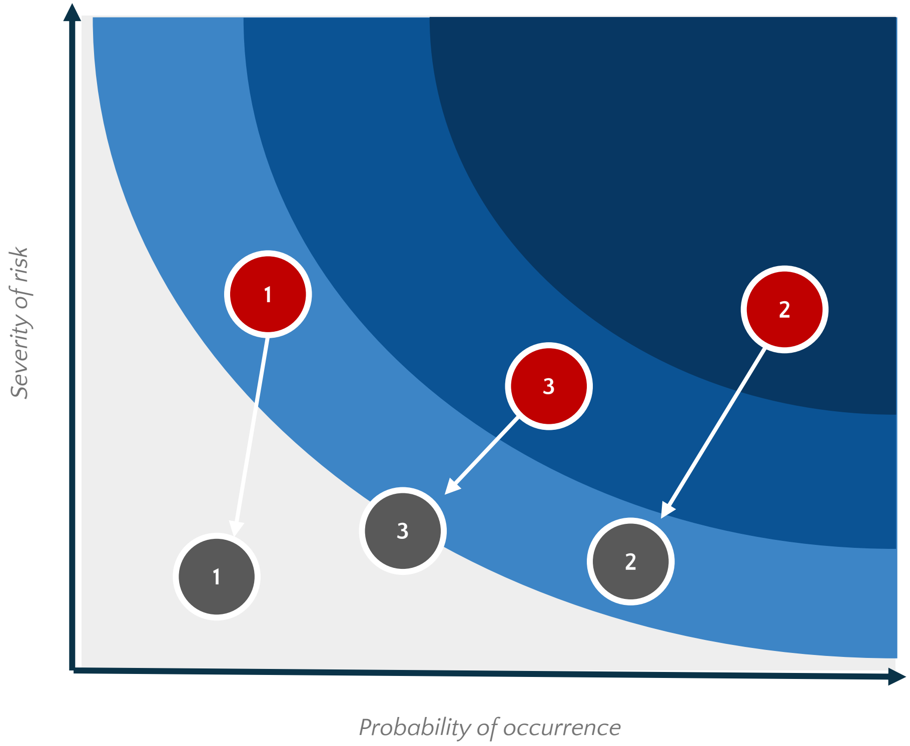
4.7%
Gross Profit Margin (2013-2016)

3.08%
Capital Expenditure from Total Investment

0.03%
Operational Expenditure from Total Investment

A Well-balanced Strategy to be Achieved by 2016

Porcini's Pronto



1 ***Quality Erosion: Franchising/syndication may dilute food/service standards***
Deploy Pathfinder Teams to train new units and conduct monthly mystery shopper audits (target ≥85/100).

2 ***Low Brand Awareness: Highway travelers may prefer familiar chains like Denny's***
Partner with gas stations (e.g., Shell) for co-branding and offer GPS-targeted discounts via Waze/Google Maps.

3 ***Labor Shortages: High turnover may worsen in rural highway locations***
Implement attendance bonuses (1 extra PTO day/month) and cross-train staff for flexible coverage.

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- **Franchising**
- **Syndication**

Impact

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- **4.95% Gross Profit Margin** by 2016

Appendix

Financial estimates for strategy

Macro Projections		2010	2011	2012	2013	2014	2015	2016
Revenue	Total	94300	96658	99074	101604	104171	106776	109446
	Organic Growth	94300	96657.5	99073.9375	101550.7859	104089.5556	106691.7945	109359.0893
	%		2.50%	2.50%	2.50%	2.50%	2.50%	2.50%
	Franchise Growth				53.082	81.852444	84.14431243	86.50035318
	%				2.00%	2.00%	2.00%	2.00%
Expenditures	Total	90528	92791.2	95110.98	97088.6	99063.6	102035.0	104016.1
	Organic	90528	92791.2	95110.98	96062.0898	97022.7107	97992.9378	98972.86718
	Franchise				1026.5	2040.926222	4042.072156	5043.250177
Profit Margin		4%	4%	4%	4.4%	4.9%	4.4%	5.0%
Gross Profit		3772	3866	3963	4515	5108	4741	5429

Micro Projections	2013	2014	2015	2016
AUV Per Store	884.7	909.4716	934.9368048	961.1150353
Total AUV	884.7	1364.2074	1402.405207	1441.672553
Stores Launched	1	2	4	5
Investment/Store	1000	2000	4000	5000
Operational Costs	26.5	40.9	42.1	43.3
Total Cost	1026.5	2040.9	4042.1	5043.3
Royalties	53.082	81.852444	84.14431243	86.50035318

Franchise	2010	2011	2012	2013	2014	2015	2016
Organic Growth	90528	92791	95111	96062	97023	97993	98973
Franchise CAPEX				1000	2000	4000	5000
Franchise OPEX				27	41	42	43

	2011	2012	2013	2014	2015	2016	2017	2018
Company-Owned								
Units opened during year	2[a]	0	2	2	2	2	2	2
Cumulative	2	2	4	6	8	10	12	14
Franchised								
Units opened during year	0	0	4	4	4	5	5	6
Cumulative	0	0	4	8	12	17	22	28
Syndication								
Units opened during year	0	0	2	3	3	4	4	4
Cumulative	0	0	2	5	8	12	16	20

	Company Owned/Operated	Syndicated	Franchised
Porcini's investment	$2.1 million per site	$2.5 million syndicate transaction cost[a]	$1.0 million[b]
Ownership	Company buys land, builds facilities	Investors buy land and buildings from company	Franchisee responsible for buying or leasing well-situated land, and building restaurant to company specs. Responsible for financing.
Operational control	Company	Company	Franchisee manages according to Pronto specs
Estimated profit margin[c]	6% of revenues		
Franchise application fee			$40,000 (used to vet applicant and negotiate deal)
Operating commission and incentive fee to Porcini's		4% of revenues[c]	
Pronto's franchise operating fee			5% of revenue (less 3% costs) = 2% net to Porcini's[c]
Services provided by Company			Training/advice; menu development; co-op marketing; etc. (the 3% costs noted above)

	Porcini's		Porcini's Pronto	
	# of offerings	Average price	# of offerings	Average price
Antipasti	12	$10	5	$8
Soups	3	$6	2	$5
Salads	7	$8	2	$6
Pizza	a	a	4	$11
House specialty entrees	6	$17	3	$14
Pasta entrees	20	$15	6	$12
Seafood entrees	5	$19	2	$15
Meat and chicken entrees	9	$17	4	$14
Side dishes	5	$6	3	$4
Desserts	5	$6	3	$5
Wines (choices available)	24		5[b]	
Coffees	5	$4	5	$4

Pizza Hut	
Expected AUV	983,000
Type of Expenditure	
Initial Franchise Fee	25,000
Equipment	150,000 - 300,000
Opening Inventory	4,000 - 8,000
Smallwares	15,000 - 50,000
Building and Site Improver	550,000 - 1,575,000
Land	Varies
Computer System	15,000 - 30,000
Computer System Training	0 - 1,500
Additional Funds (3 montl	5,000 - 21,500
Miscellaneous	10,000 - 22,000
Advertising	0 - 16,500
Start-up "Other"	3,000 - 4,000
Total	782,000 - 2,053,500

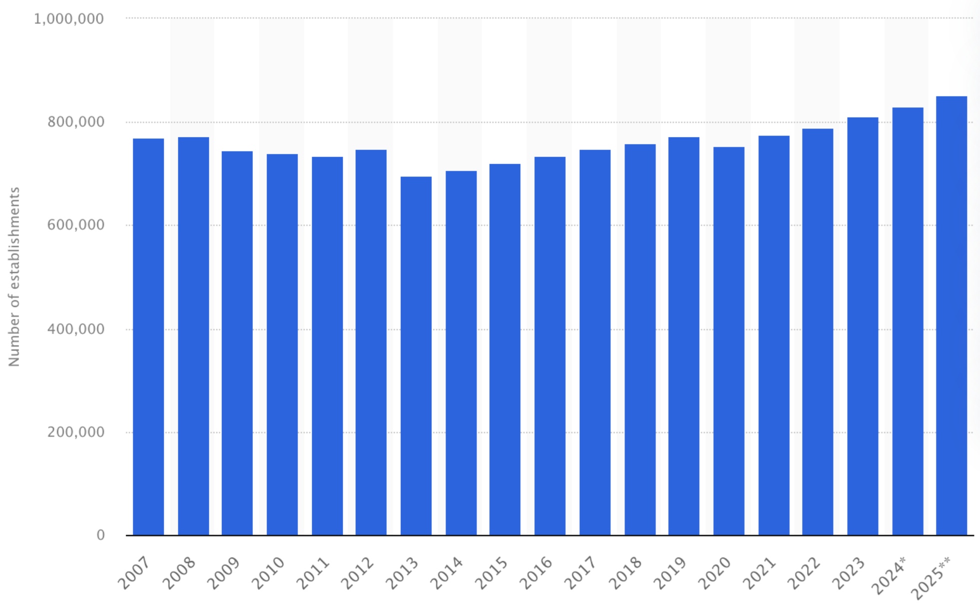
Franchising vs Hybrid: Porcini's core competencies in quality assurance allow for it to be scaled up with ambitious plans for revenue growth

1. Capital Efficiency & Growth Speed		
Metric	**Franchising**	**Hybrid (Syndication)**
Upfront Cost	$1M (system setup)	4.2M (2 pilot units)+2.5M (syndication fees)
Units by Year 3	5 (franchisee-funded)	20 (investor-funded)
Capex/Unit	$0 (franchisee covers)	$2.1M (company capital)
Key Insight: Franchising eliminates Porcini's capital burden, enabling 3x faster expansion with no real estate/debt risk.		

2. Profitability Comparison			
Model	**Revenue Share**	**Margin**	**Notes**
Franchisi ng	5% royalties	2%	Low but scalable; 28 units = 3.4Mannualprofitat 2.4M/unit revenue
Syndication	4% fee	4%	Higher per-unit margin but slower growth (20 units, $1.9M profit)
Key Insight: We aim to scale up to maintain a 4% Margin, even with a franchising strategy			

Market Trends in Franchising

Number of franchise establishments in the United States from 2007 to 2024 with a forecast for 2025



In 2024, there were an estimated 811,000 franchise establishments in the United States. Franchising is a business concept where a franchisee is contractually permitted to use the franchisor's ideas and business model.

Franchising in the United States

The franchise industry in the United States allows for companies to put licenses on their brand and distribute to a separate business. These smaller businesses work under the title of the bigger company. Franchises are available through different types of establishments. More notably, the franchise industry is commonly known for its fast food sector. In 2024, the economic output of franchise establishments in the United States was about 897 billion U.S. dollars. Contributing to the economic output of franchise establishments in the United States were more than 8 million people who worked for a franchise business.

Company Analysis

Porcini's Pronto

1 **STRENGTHS**

- Strong brand and quality reputation
- Customer loyalty and unique ambience
- Consistent financial growth

2 **WEAKNESSES**

- Limited capital for expansion
- Lack of brand recognition outside NorthEast
- Operational complexity